Practice workbook · Pricing strategies and when to use them

Cost plus, penetration, competition, skimming and promotional pricing: meanings, when each fits, and choosing between them.

17 question parts: 1 worked-example retry and 16 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: BUS-S4-06

1. Question 2 · part c · 3 marks

2020 NOV · Paper 02 (regional R)

Worked-example retry · Attempt part c only.

2 *HRMW* carries out market research on a regular basis.

(a) State **one** function that human resources at *HRMW* would carry out.

(1)

(b) State **one** reason why *HRMW* carries out market research.

(1)

(c) Explain **one** benefit of using penetration pricing for a new product.

(3)

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1. Question 2 · part c · 3 marks

2020 NOV · Paper 02 (regional R)

Worked-example retry · Attempt part c only.

(d) Explain **one** benefit to a business of using the internet to carry out secondary market research.

(3)

(e) Explain **one** benefit to a business of continually introducing new products.

(3)

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1. Question 2 · part c · 3 marks · Working and answer

Working and answer

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2. Question 1 · part d · 1 mark

2020 NOV · Paper 02

Further practice · Attempt part d only.

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1 In 1985 *Emirates* started its airline business with just two aircraft. It is now a well-known airline with over 265 aircraft flying to over 180 destinations around the world.

Emirates has won many awards for service and reliability. Until 2016 passengers rated *Emirates* the leading airline to travel with. However, in 2017 its rating dropped from first to fourth.

(a) (i) Which **one** of the following only applies to a public limited company?

(1)

Select **one** answer.

- ☒ **A** Controlled by the government
- ☒ **B** Shares are traded on the stock exchange
- ☒ **C** A maximum of 50 shareholders
- ☒ **D** Restriction in the transfer of shares

(ii) Which **one** of the following departments would send an invoice to a supplier?

(1)

Select **one** answer.

- ☒ **A** Human resources
- ☒ **B** Marketing
- ☒ **C** Finance
- ☒ **D** Production

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2. Question 1 · part d · 1 mark

2020 NOV · Paper 02

Further practice · Attempt part d only.

Figure 1 shows the annual total revenue of £1 200 000 for five businesses.

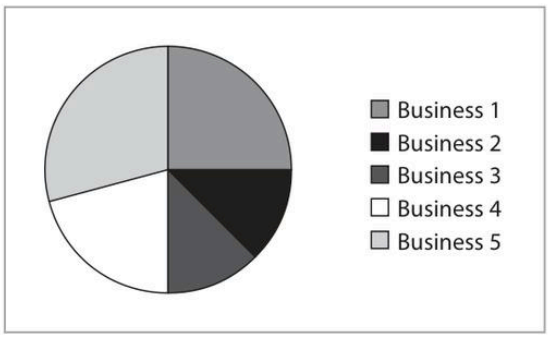


Figure 1

Business 1	**£300 000**
Business 2	**£150 000**
Business 3	**£150 000**
Business 4	**£250 000**
Business 5	**£350 000**

(iii) What is the market share for Business 2?

(1)

Select **one** answer.

- ☒ **A** 12.5%
- ☒ **B** 20.8%
- ☒ **C** 25.0%
- ☒ **D** 29.2%

(iv) Which **one** of the following describes an overdraft?

(1)

Select **one** answer.

- ☒ **A** A method of borrowing regular amounts
- ☒ **B** More funds taken out than are in the account
- ☒ **C** Money lent by many people to a business
- ☒ **D** A loan due for repayment in five years

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2. Question 1 · part d · 1 mark

2020 NOV · Paper 02

Further practice · Attempt part d only.

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Figure 2 Extract from *Emirates* financial reports, 2015–2017

	2016–2017 Dirham millions (AED)	2015–2016 Dirham millions (AED)
Total assets	133 281	129 989
Cash assets	19 066	23 453

Figure 2

(v) What is the percentage change in total assets between 2015–2016 and 2016–2017?

(1)

Select **one** answer.

- ☒ **A** –18.70%
- ☒ **B** –2.53%
- ☒ **C** 2.47%
- ☒ **D** 2.53%

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(vi) Which **one** of the following would be part of recruiting a new employee?

(1)

Select **one** answer.

- ☒ **A** Business plan
- ☒ **B** Induction training
- ☒ **C** Job description
- ☒ **D** Job enrichment

(b) Define the term **social enterprise**.

(1)

.....

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(c) Define the term **globalisation**.

(1)

.....

.....

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2. Question 1 · part d · 1 mark

2020 NOV · Paper 02

Further practice · Attempt part d only.

(d) State **one** reason why *Emirates* uses competition pricing.

(1)

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.....

.....

Figure 3 shows part of a cash flow forecast for *Emirates*.

	June 2017 Dirham billions (AED)
Opening balance	44
Cash inflow	26
Cash outflow	30
Net cash flow	
Closing balance	40

Figure 3

(e) Calculate the net cash flow for June 2017. You are advised to show your working.

(2)

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2. Question 1 · part d · 1 mark · Working and answer

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3. Question 1 · part a.ii · 1 mark

2021 JUN · Paper 01

Further practice · Attempt part a.ii only.

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1 *Nantgwynfaen Organic Farm (NOF)* is a farm growing a range of fruit and vegetables. It has a farm shop and offers accommodation with breakfast. It was set up by Amanda and Ken Edwards in West Wales, UK.

NOF supports farmers by selling local organic produce in its farm shop. The produce from the farm shop is served to the visitors staying overnight at the farm.

NOF is committed to being environmentally friendly by recycling, avoiding the use of packaging and reducing the use of electricity.

(a) (i) Which **one** of the following is an external source of finance?

(1)

Select **one** answer.

- ☒ **A** Personal savings
- ☒ **B** Retained profit
- ☒ **C** Bank loan
- ☒ **D** Selling assets

(ii) Which **one** of the following is the name of a pricing strategy where a business sets a high price for a new product in the market?

(1)

Select **one** answer.

- ☒ **A** Penetration
- ☒ **B** Skimming
- ☒ **C** Competition
- ☒ **D** Promotional

(iii) Which **one** of the following types of discrimination is protected by legislation?

(1)

Select **one** answer.

- ☒ **A** Age
- ☒ **B** Ability
- ☒ **C** Social
- ☒ **D** Ethical

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3. Question 1 · part a.ii · 1 mark · Working and answer

Working and answer

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4. Question 1 · part d · 1 mark

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Further practice · Attempt part d only.

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1 (a) (i) Which **one** of the following sectors would a retail outlet operate in?

(1)

Select **one** answer.

- ☒ **A** Primary
- ☒ **B** Secondary
- ☒ **C** Tertiary
- ☒ **D** Quarternary

(ii) Which **one** of the following would be used to select a group of applicants for interview?

(1)

Select **one** answer.

- ☒ **A** Training
- ☒ **B** Shortlisting
- ☒ **C** Marketing
- ☒ **D** Advertising

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4. Question 1 · part d · 1 mark

2021 JUN · Paper 02

Further practice · Attempt part d only.

NEXT purchased 5,000 dresses from a Turkish manufacturer at 101.10 New Turkish Lira (TRY) per dress.

The exchange rate is £1.00 (GBP) = 6.74 (TRY)

(iii) Which **one** of the following would *NEXT* pay in £ (GBP) to the Turkish manufacturer for the 5,000 dresses?

(1)

Select **one** answer.

- ☒ **A** 5 101
- ☒ **B** 5 674
- ☒ **C** 33 700
- ☒ **D** 75 000

(iv) Which **one** of the following describes Kaizen?

(1)

Select **one** answer.

- ☒ **A** Skilled manufacturing
- ☒ **B** Just-in-time (JIT)
- ☒ **C** Market orientated
- ☒ **D** Continuous improvement

Figure 1 shows the number of online customers using *NEXT* in 2017–2018.

	2017 Millions	2018 Millions
Online customers	4.7	4.9

Figure 1

(v) What is the percentage increase, to two decimal places, of online customers from 2017 to 2018?

(1)

Select **one** answer.

- ☒ **A** 2.00%
- ☒ **B** 4.08%
- ☒ **C** 4.26%
- ☒ **D** 4.70%

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4. Question 1 · part d · 1 mark

2021 JUN · Paper 02

Further practice · Attempt part d only.

(vi) Which **one** of the following is a benefit of buying a franchise?

(1)

Select **one** answer.

- ☒ **A** The franchisor provides training to the franchisee
- ☒ **B** A franchisee pays a lower rate of Value Added Tax (VAT)
- ☒ **C** The franchisor pays the franchisee to set up in business
- ☒ **D** A franchisee makes all his/her own decisions

(b) Define the term **delegation**.

(1)

(c) Define the term **venture capital**.

(1)

(d) State **one** reason why *NEXT* might use cost plus pricing.

(1)

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Turn over ▶

4. Question 1 · part d · 1 mark

2021 JUN · Paper 02

Further practice · Attempt part d only.

NEXT predicts that its £727 million sales will grow by 3.2% next year.

(e) Calculate the predicted sales for next year. You are advised to show your working.

(2)

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(f) Explain **one** disadvantage for a business that does not achieve its predicted growth.

(3)

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4. Question 1 · part d · 1 mark · Working and answer

Working and answer

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5. Question 3 · part a · 1 mark

2021 NOV · Paper 01

Further practice · Attempt part a only.

3 (a) Define the term **price skimming**.

(1)

(b) Outline **one** reason why cash might be important to *Artify Studio*.

(2)

Figure 1 is an extract from the *Artify Studio* statement of profit and loss.

	S$
Revenue	90 500
Cost of goods sold	53 500
Direct labour	8 500
Total cost of sales	62 000
Gross profit	28 500

Figure 1

(c) Calculate, to two decimal places, the gross profit margin for *Artify Studio*. You are advised to show your working.

(2)

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5. Question 3 · part a · 1 mark · Working and answer

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6. Question 1 · part a.ii · 1 mark

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part a.ii only.

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1 *China Cycle Tours (CCT)* is a business that provides bicycle tours. It offers guided bicycle tours around the city and countryside of Shanghai, China. It was started in 2008 with the slogan, 'One world, Two wheels.'

CCT employs eight tour guides who are all bilingual, speaking Chinese and English. The guides help tourists in all aspects of their tour including bookings for accommodation, food, activities and visits to cultural sites. *CCT* delivers the bicycles directly to the hotels where the tourists are staying and provides free maps and locks for the bicycles.

CCT has received good reviews and ratings online. Customers have commented that the bicycle tours are extremely enjoyable and that the guides help them to experience the true culture of China.

(a) (i) Which **one** of the following is the production process that relies more on machinery than on labour?

(1)

Select **one** answer.

- ☒ **A** Kaizen
- ☒ **B** Job production
- ☒ **C** Just-in-time
- ☒ **D** Capital intensive

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(ii) Which **one** of the following is a pricing strategy that involves setting a low price for a product when it is first introduced to the market to quickly gain market share?

(1)

Select **one** answer.

- ☒ **A** Skimming
- ☒ **B** Competition
- ☒ **C** Penetration
- ☒ **D** Cost plus

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Turn over ▶

6. Question 1 · part a.ii · 1 mark

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part a.ii only.

(iii) Which **one** of the following is most likely to improve the cash flow position of a small business to help prevent its failure?

(1)

Select **one** answer.

- ☒ **A** Paying overhead costs sooner
- ☒ **B** Paying suppliers later
- ☒ **C** Increasing the rate of pay for its employees
- ☒ **D** Decreasing the net cash flow

(iv) Which **one** of the following is a financial business aim?

(1)

Select **one** answer.

- ☒ **A** Challenge
- ☒ **B** Independence
- ☒ **C** Survival
- ☒ **D** Control

CCT is considering purchasing six electric bicycles from England to increase the variety of bicycles it offers to its customers.

Each bicycle costs £550.

The exchange rate is £1 = 9.35 Chinese yuan (CNY).

(v) Which **one** of the following would *CCT* pay in CNY for **six** electric bicycles?

(1)

Select **one** answer.

- ☒ **A** 550.00 CNY
- ☒ **B** 3 300.00 CNY
- ☒ **C** 5 142.50 CNY
- ☒ **D** 30 855.00 CNY

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6. Question 1 · part a.ii · 1 mark · Working and answer

Working and answer

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7. Question 1 · part a.ii · 1 mark

2025 JUN · Paper 01

Further practice · Attempt part a.ii only.

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1 Gianni Polvani opened his first gym, *Four Fitness*, over 20 years ago. He now employs 14 highly-qualified gym instructors in his two gyms. Both gyms are in Italy, one in Arezzo and the other in Castiglion Fiorentino.

The gym encourages its members to take part in all the physical activities it offers. Members can take part in a number of social activities as well.

Four Fitness has a website which is primarily for information only. The website details such things as opening hours and descriptions of available activities. It cannot be used to book activities or access personal training plans.

(a) (i) Which **one** of the following is a debt payable within 12 months?

Select **one** answer.

(1)

- ☒ **A** Current asset
- ☒ **B** Current liability
- ☒ **C** Non-current asset
- ☒ **D** Non-current liability

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(ii) Which **one** of the following is a pricing strategy where a business sets an initial high price for a product new to the market?

Select **one** answer.

(1)

- ☒ **A** Skimming
- ☒ **B** Competition
- ☒ **C** Penetration
- ☒ **D** Cost plus

7. Question 1 · part a.ii · 1 mark

2025 JUN · Paper 01

Further practice · Attempt part a.ii only.

(iii) Which **one** of the following is a role of the human resources department?

Select **one** answer.

(1)

- ☒ **A** Reducing costs
- ☒ **B** Designing products
- ☒ **C** Customer service
- ☒ **D** Recruiting employees

(iv) Which **one** of the following is a benefit to a shareholder of having limited liability?

Select **one** answer.

(1)

- ☒ **A** Choosing who can buy shares
- ☒ **B** May build a better relationship with suppliers
- ☒ **C** Own possessions are not at risk
- ☒ **D** Employee motivation will increase

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7. Question 1 · part a.ii · 1 mark · Working and answer

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8. Question 1 · part d · 1 mark

2025 NOV · Paper 01

Further practice · Attempt part d only.

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1 *Ocean Vibes* is a boat tour business located in two tourists resorts in Portugal. During the tours, it collects wildlife research. The idea came from two young scientists, Alfredo and Pedro, who share a passion for the environment, boats and science. *Ocean Vibes* employs boat tour guides and a sales team in each of the two resorts.

The main goal of *Ocean Vibes* is to connect tourism with science. It offers dolphin and bird-watching tours to tourists and uses the boat tours to collect research data on the wildlife. Its tour guides are knowledgeable, passionate and respectful of the environment.

Customers can book the boat tours online or in the tourist resorts. They are encouraged to leave reviews on *Ocean Vibes'* website.
Every month *Ocean Vibes* provides a boat tour for students and researchers who wish to study the wildlife.

There are many other businesses offering boat tours in Portugal which makes competing in the industry a challenge.

(a) (i) Which **one** of the following is a role within the marketing function?

(1)

Select **one** answer.

- ☒ **A** Workforce planning
- ☒ **B** Quality control
- ☒ **C** Sales promotion
- ☒ **D** Training employees

(ii) Which **one** of the following is an example of a non-financial method of motivation?

(1)

Select **one** answer.

- ☒ **A** Bonus
- ☒ **B** Remuneration
- ☒ **C** Fringe benefits
- ☒ **D** Job rotation

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8. Question 1 · part d · 1 mark

2025 NOV · Paper 01

Further practice · Attempt part d only.

(iii) Which **one** of the following is a phase of the product life cycle?

(1)

Select **one** answer.

- ☒ **A** Introduction
- ☒ **B** Cash cow
- ☒ **C** Dog
- ☒ **D** Star

(iv) Which **one** of the following is an example of a public service provided by the government?

(1)

Select **one** answer.

- ☒ **A** Clothing retailer
- ☒ **B** Police force
- ☒ **C** Mobile phone provider
- ☒ **D** Grocery store

A bank in Portugal charges *Ocean Vibes* 12% interest on overdrafts.

(v) Which **one** of the following is the interest charged by the bank on an overdraft of €1 400?

Select **one** answer.

(1)

- ☒ **A** €140
- ☒ **B** €168
- ☒ **C** €1 388
- ☒ **D** €1 568

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P 7 8 9 6 9 A 0 4 2 0

8. Question 1 · part d · 1 mark

2025 NOV · Paper 01

Further practice · Attempt part d only.

Figure 1 shows the total costs for *Ocean Vibes* in 2022 and 2023.

Year	€
2022	380 000
2023	420 000

Figure 1

(vi) Which **one** of the following is the percentage change in the total costs between 2022 and 2023?

(1)

Select **one** answer.

- ☒ **A** 0.90%
- ☒ **B** 9.52%
- ☒ **C** 10.53%
- ☒ **D** 90.48%

(b) Define the term **primary sector**.

(1)

(c) Define the term **shareholder**.

(1)

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8. Question 1 · part d · 1 mark

2025 NOV · Paper 01

Further practice · Attempt part d only.

(d) State **one** benefit to *Ocean Vibes* of using competition pricing.

(1)

The price of an *Ocean Vibes* boat tour is €60 (euros) per person.

The exchange rate is €1 = £0.95 (UK pounds)

(e) Calculate the price of a boat tour in UK pounds (£). You are advised to show your working.

(2)

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(f) Explain **one** advantage to an individual of being a sole trader.

(3)

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8. Question 1 · part d · 1 mark · Working and answer

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9. Question 2 · part c · 3 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

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2 (a) State **one** non-financial method of motivating staff at *Lavender*.

(1)

(b) State **one** function of the finance area in *Lavender*.

(1)

(c) Explain **one** way a business can use penetration pricing.

(3)

(d) Explain **one** reason why a business would have a short span of control.

(3)

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9. Question 2 · part c · 3 marks · Working and answer

Working and answer

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10. Question 2 · part f · 9 marks

2019 JUN · Paper 02

Further practice · Attempt part f only.

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2 *Tata Motor Company* has employees across the world. It prides itself on looking after all its employees and ensuring that their needs are met.

(a) State **one** non-financial objective for *Tata Motor Company*.

(1)

(b) State **one** reason why *Tata Motor Company* would employ casual staff.

(1)

(c) Explain **one** reason why a business uses fringe benefits.

(3)

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(d) Explain **one** reason why a business would use job production.

(3)

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10. Question 2 · part f · 9 marks

2019 JUN · Paper 02

Further practice · Attempt part f only.

(e) Explain **one** benefit to a business of having a short chain of command.

(3)

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10. Question 2 · part f · 9 marks

2019 JUN · Paper 02

Further practice · Attempt part f only.

Tata Motor Company uses different pricing strategies. It is considering **two** options for the launch of a new vehicle:

Option 1: cost plus

Option 2: promotional.

(f) Justify which **one** of these two options *Tata Motor Company* should use.

(9)

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(Total for Question 2 = 20 marks)

10. Question 2 · part f · 9 marks · Working and answer

Working and answer

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11. Question 2 · part f · 9 marks

2021 JUN · Paper 01

Further practice · Attempt part f only.

2 (a) State **one** external factor that could cause a change in demand for *NOF* products.

(1)

(b) State **one** reason *NOF* might use other retailers to sell its products.

(1)

(c) Explain **one** benefit to a business of using secondary market research.

(3)

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11. Question 2 · part f · 9 marks

2021 JUN · Paper 01

Further practice · Attempt part f only.

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(d) Explain **one** limitation of a cash flow forecast when making business decisions.

(3)

(e) Explain **one** benefit to a business of using crowdfunding as a source of finance.

(3)

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11. Question 2 · part f · 9 marks

2021 JUN · Paper 01

Further practice · Attempt part f only.

NOF has recently harvested its corn crop. It intends to turn the corn into popcorn called '*NOF* pop' to sell in the farm shop and through local retailers.

NOF is considering two options to introduce the product into the market:

Option 1: offering a low introductory price for three months

Option 2: selling at the same price as competitors.

(f) Justify which **one** of these two options *NOF* should choose.

(9)

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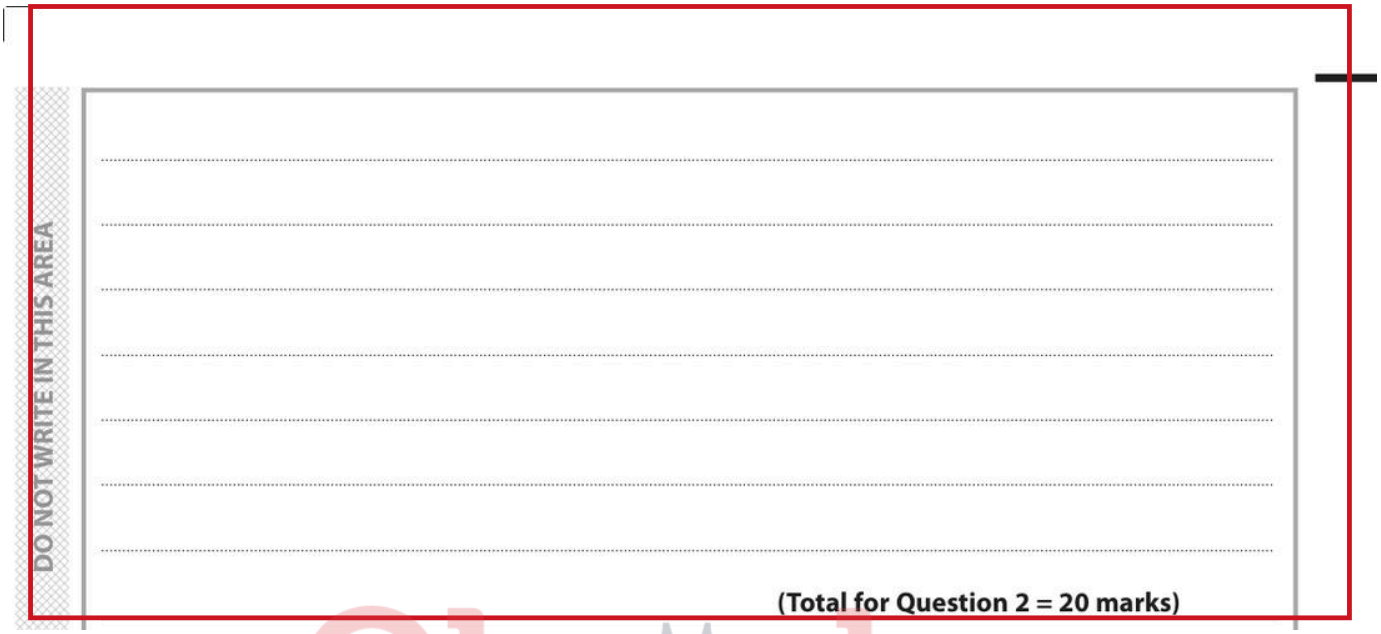
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11. Question 2 · part f · 9 marks

2021 JUN · Paper 01

Further practice · Attempt part f only.



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11. Question 2 · part f · 9 marks · Working and answer

Working and answer

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12. Question 3 · part e · 9 marks

2021 NOV · Paper 02

Further practice · Attempt part e only.

3 *Huawei* constantly has to introduce new products to the market to keep up to date with its competitors. If it does not do this then there is the possibility that other businesses will succeed where *Huawei* will not.

(a) Define the term **revenue**.

(1)

(b) Outline **one** reason why *Huawei* would use robotics in the production of its products.

(2)

In 2018 *Huawei* took out a one-year loan for 69 941 000 000 Renminbi (CNY) from a bank. The bank charged interest of 4.5% on the loan.

(c) Calculate the interest *Huawei* would pay. You are advised to show your working.

(2)

..... CNY

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12. Question 3 · part e · 9 marks

2021 NOV · Paper 02

Further practice · Attempt part e only.

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(d) Analyse why *Huawei* offers its new employees in the design department off-the job training.

(6)

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12. Question 3 · part e · 9 marks

2021 NOV · Paper 02

Further practice · Attempt part e only.

Huawei operates in a very competitive market. For any new smartphone it has to decide which pricing strategy it will use. For its next smartphone *Huawei* is considering two options:

Option 1: competition pricing

Option 2: promotional pricing.

(e) Justify which **one** of these two options *Huawei* should use when launching its new smartphone.

(9)

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12. Question 3 · part e · 9 marks

2021 NOV · Paper 02

Further practice · Attempt part e only.

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(Total for Question 3 = 20 marks)

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12. Question 3 · part e · 9 marks · Working and answer

Working and answer

OLevels.com SCHOOL

13. Question 2 · part f · 9 marks

2022 JUN · Paper 02

Further practice · Attempt part f only.

2 All 18,000 *LEGO* employees are full-time.

(a) State **one** financial objective for *LEGO*.

(1)

(b) State **one** possible reason why *LEGO* does not recruit casual employees.

(1)

(c) Explain **one** reason why a business would pay its employees above the minimum wage.

(3)

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13. Question 2 · part f · 9 marks

2022 JUN · Paper 02

Further practice · Attempt part f only.

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(d) Explain **one** reason why product trials are important to a business.

(3)

(e) Explain **one** reason why a business complies with health and safety legislation.

(3)

OLevels.com SCHOOL

13. Question 2 · part f · 9 marks

2022 JUN · Paper 02

Further practice · Attempt part f only.

LEGO is constantly introducing new toys to the market to keep its customers buying. It is planning to introduce a new Star Wars Princess Leia toy. It is considering the following two pricing strategies to launch the toy.

Option 1: cost plus

Option 2: skimming.

(f) Justify which **one** of these two options *LEGO* should choose.

(9)

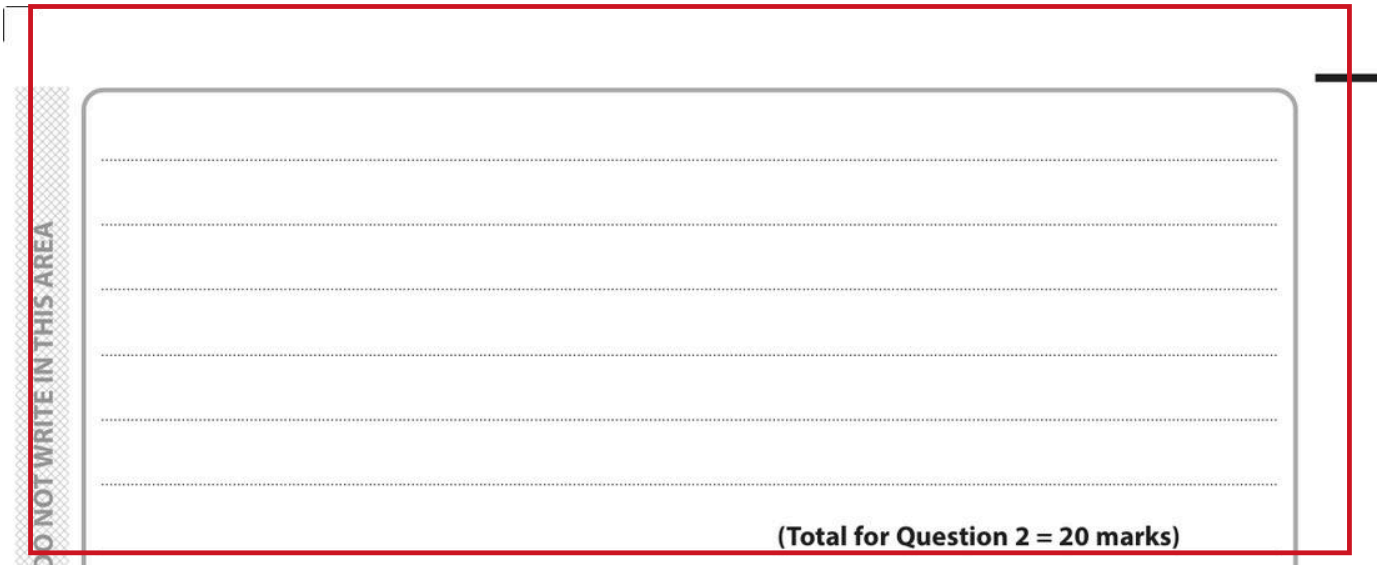
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OLevels.com SCHOOL

13. Question 2 · part f · 9 marks

2022 JUN · Paper 02

Further practice · Attempt part f only.



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13. Question 2 · part f · 9 marks · Working and answer

Working and answer

OLevels.com SCHOOL

14. Question 3 · part e · 9 marks

2023 NOV · Paper 01

Further practice · Attempt part e only.

3 (a) Define the term **job production**.

(1)

(b) Outline why *AWG* can be classified as operating in the secondary sector.

(2)

In 2022, *AWG* borrowed 70 000 ISK from its bank. At the end of the year it paid back the loan with 6.5% interest.

(c) Calculate the total amount, including interest, *AWG* would have paid to the bank. You are advised to show your working.

(2)

.....ISK

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14. Question 3 · part e · 9 marks

2023 NOV · Paper 01

Further practice · Attempt part e only.

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AWG is an importer and an exporter. It imports materials to make its jumpers and exports its clothing to international customers.

(d) Analyse the impact on *AWG* of a depreciation of the ISK.

(6)

OLevels.com SCHOOL

14. Question 3 · part e · 9 marks

2023 NOV · Paper 01

Further practice · Attempt part e only.

AWG is planning to launch a new range of clothing aimed at teenagers and younger adults. It is considering two pricing methods:

Option 1: competition pricing

Option 2: cost plus pricing.

(e) Justify which **one** of these two options *AWG* should choose.

(9)

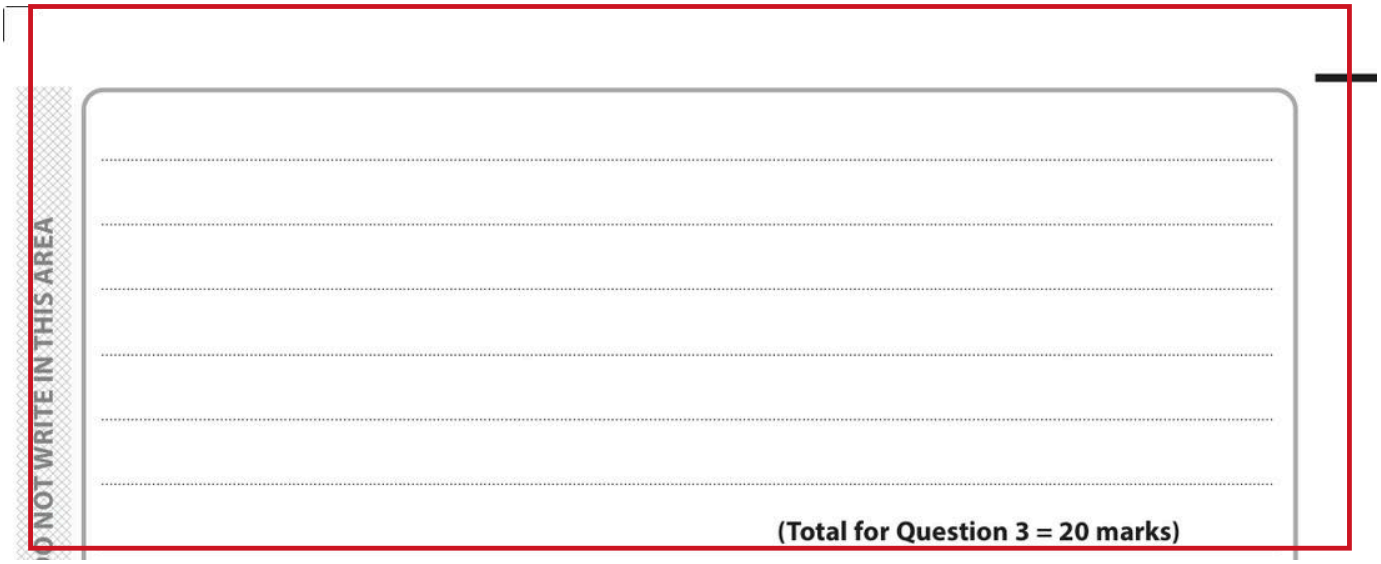
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14. Question 3 · part e · 9 marks

2023 NOV · Paper 01

Further practice · Attempt part e only.



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14. Question 3 · part e · 9 marks · Working and answer

Working and answer

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15. Question 2 · part f · 9 marks

2024 JUN · Paper 02

Further practice · Attempt part f only.

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2 *TUI* has employees throughout the world. Some are employed to greet customers arriving at their holiday destination by air, rail or road. Others sell trips and excursions to customers once they reach their holiday destination. *TUI* prides itself on looking after all its employees and making sure that their needs are met.

(a) State **one** possible reason why *TUI* would want to keep its customers loyal.

(1)

(b) State **one** reason why *TUI* would employ casual employees.

(1)

(c) Explain **one** reason why businesses employ people with disabilities.

(3)

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15. Question 2 · part f · 9 marks

2024 JUN · Paper 02

Further practice · Attempt part f only.

(d) Explain **one** benefit to a business of having a short chain of command.

(3)

(e) Explain **one** important piece of information that should be included in a job advertisement in a newspaper.

(3)

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15. Question 2 · part f · 9 marks

2024 JUN · Paper 02

Further practice · Attempt part f only.

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The travel market that *TUI* operates in is very competitive, with many different businesses offering the same holidays at the same venues. When *TUI* introduces a new holiday or experience it has to consider the pricing strategy it will use. For its new holiday destination in Sri Lanka it is considering two options:

Option 1: competition pricing

Option 2: promotional pricing.

(f) Justify which **one** of these two options *TUI* should choose.

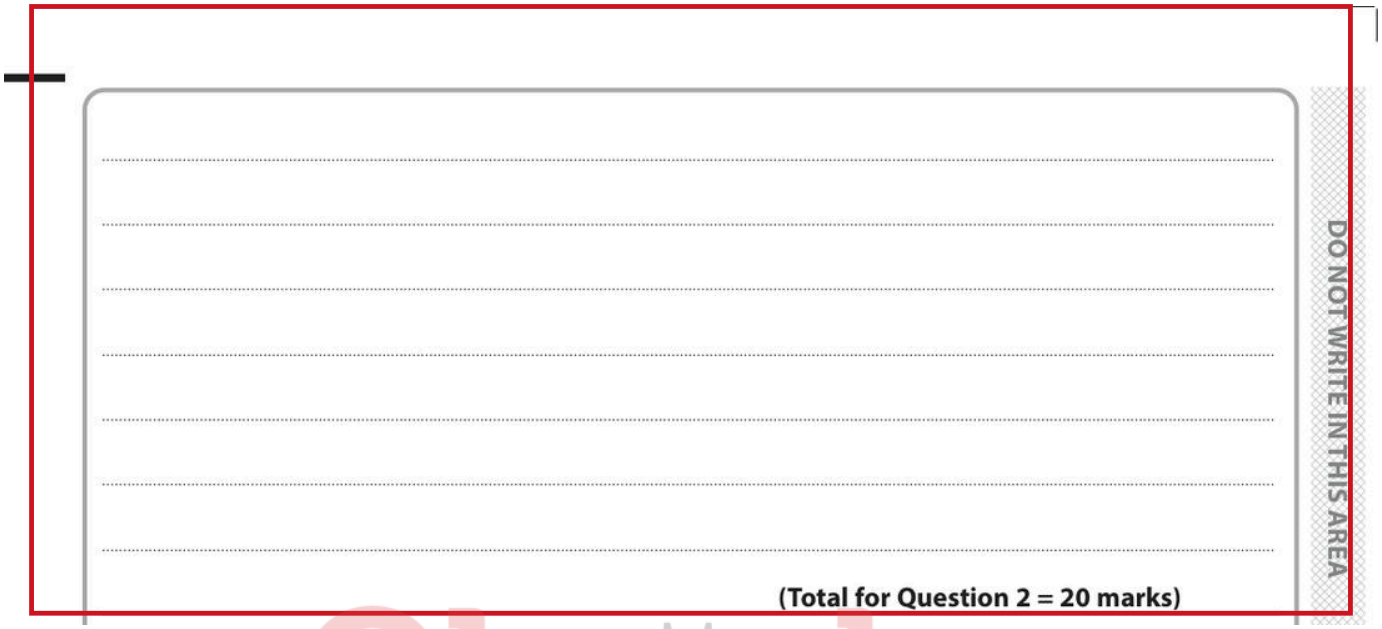
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15. Question 2 · part f · 9 marks

2024 JUN · Paper 02

Further practice · Attempt part f only.



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15. Question 2 · part f · 9 marks · Working and answer

Working and answer

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16. Question 3 · part e · 9 marks

2024 NOV · Paper 01

Further practice · Attempt part e only.

3 (a) Define the term **legislation**.

(1)

(b) Outline **one** reason why *Saha* may dismiss an employee.

(2)

Figure 2 is an extract from a cash flow forecast.

	£
Cash inflows	
Sales	24 000
Other income	5 000
Cash outflow	
Net cash flow	11 000

Figure 2

(c) Calculate the **cash outflow**. You are advised to show your working.

(2)

£.....

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16. Question 3 · part e · 9 marks

2024 NOV · Paper 01

Further practice · Attempt part e only.

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(d) Analyse **two** possible reasons that may lead to business failure for *Saha*.

(6)

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P 7 5 9 6 0 A 0 1 3 2 0

16. Question 3 · part e · 9 marks

2024 NOV · Paper 01

Further practice · Attempt part e only.

Saha is planning to develop a new range of robots aimed at helping people in the home with cleaning, shopping, security and entertainment.

It is considering two pricing methods for these robots:

Option 1: price skimming

Option 2: cost plus pricing.

(e) Justify which **one** of these two options *Saha* should choose.

(9)

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16. Question 3 · part e · 9 marks

2024 NOV · Paper 01

Further practice · Attempt part e only.

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(Total for Question 3 = 20 marks)

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16. Question 3 · part e · 9 marks · Working and answer

Working and answer

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17. Question 2 · part f · 9 marks

2024 NOV · Paper 02

Further practice · Attempt part f only.

2 *Premier Inn* wants to retain its employees so it can continue to maintain the service it provides for guests.

(a) State **one** activity carried out by the marketing functional area at *Premier Inn*.

(1)

(b) State **one** reason why *Premier Inn* uses seasonal employees.

(1)

(c) Explain **one** reason why a business would use robotics in its production.

(3)

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17. Question 2 · part f · 9 marks

2024 NOV · Paper 02

Further practice · Attempt part f only.

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(d) Explain **one** reason why a business might use sponsorship.

(3)

(e) Explain **one** advantage for a country of being in a trading bloc.

(3)

OLevels.COM SCHOOL

17. Question 2 · part f · 9 marks

2024 NOV · Paper 02

Further practice · Attempt part f only.

To be competitive in India, *Premier Inn* must make sure that it uses the correct pricing strategy. It is considering the following two options:

Option 1: competition pricing

Option 2: promotional pricing.

(f) Justify which **one** of these two options *Premier Inn* should choose.

(9)

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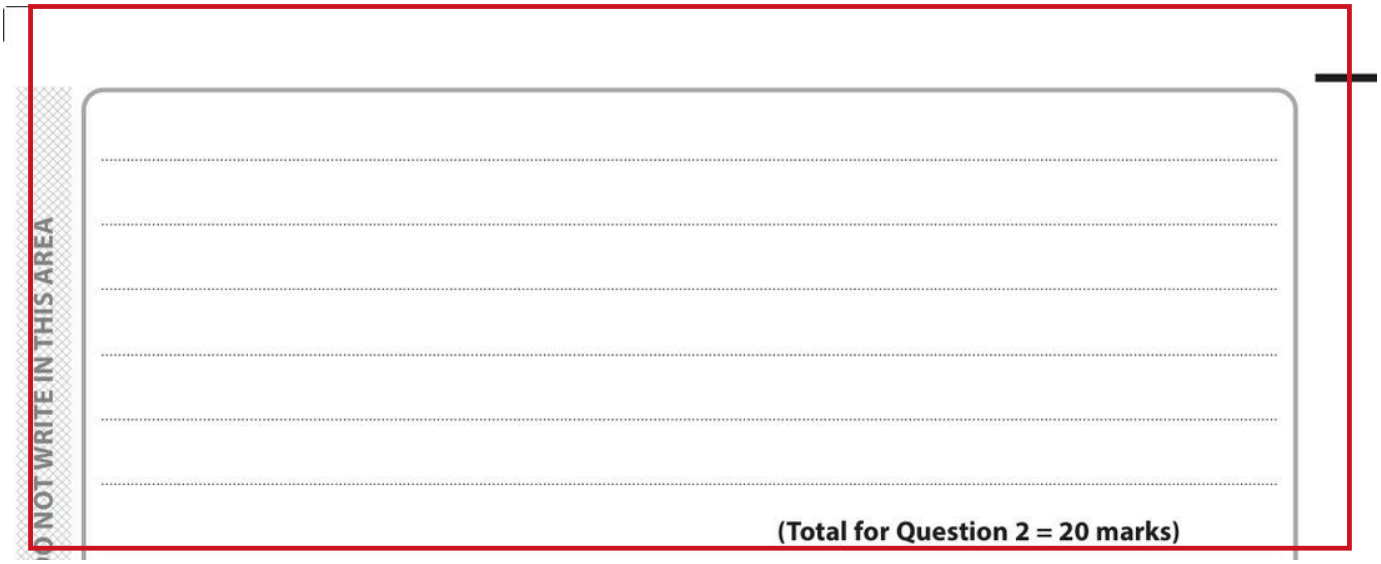
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17. Question 2 · part f · 9 marks

2024 NOV · Paper 02

Further practice · Attempt part f only.



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17. Question 2 · part f · 9 marks · Working and answer

Working and answer

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